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இலங்கை உள்நாட்டு இறைவரி
Sri Lanka Inland Revenue

**GUIDE TO FILL THE
RETURN OF INCOME, SCHEDULES
&
STATEMENT OF ASSETS AND LIABILITIES
FOR
INDIVIDUAL**

YEAR OF ASSESSMENT

2025/2026

This Guide contains;

- A. GENERAL INSTRUCTIONS**
- B. INSTRUCTIONS TO COMPLETE THE RETURN FORM**
- C. INSTRUCTIONS TO COMPLETE THE STATEMENT OF ASSETS AND LIABILITIES**

A. GENERAL INSTRUCTIONS

1. This set of documents comprises of two parts.

- I. Return Form
 - (i) Return of Income
 - (ii) Return of Income - Schedules
- II. Statement of Assets and Liabilities (A & L)

Every individual Taxpayer should fill the Return Form (Return of Income and Schedules) and the Statement of Assets and Liabilities. The above three documents shall hereinafter be referred to as the 'Return'.

Method of Filing

In terms of section 113 (1B) Act, No. 24 of 2017 of the Inland Revenue Act (IRA) as amended by the Inland Revenue (Amendment) Act , No. 04 of 2023, with effect from the year of assessment commencing from April 1, 2023, e – filing of tax returns (Electronically filing return) is mandatory for every individual taxpayers.

However, senior citizens have option to file their Return either manually or electronically with effect from 1 April 2025.

There are two filling options available for electronic filers: The Standard Return and the Simplified Return.

Electronic fillers who have only employment and interest income are eligible to use the simplified return option instead of the Standard Return.



Taxpayers who have obtained approval from the CGIR to submit manual returns may file their returns manually.

Arrangements have been made for e - filing via the IRD Web Portal. Please refer to the www.ird.gov.lk for further information.

2. You may read this Guide before filling the Return of Income, Schedules and Statement of Assets and Liabilities.
3. **Resident individuals and non-resident individuals** are required to declare the income from Employment, Business, Investment and Other Income Sources for the period from **01.04.2025 to 31.03.2026** in the Return for the year of assessment **2025/2026**.
4. The Assessable Income of a **Resident Individual** is the individual's income from Employment, Business, Investment or Other Income Source for that year, **wherever the source arises** and in the case of a **non-resident individual**, the individual's income from Employment, Business, Investment or Other Income Source for that year, to the extent that the **income arises in or is derived from a source in Sri Lanka**.
5. The Return may submitted in the language selected according to the taxpayer's preference when filing electronically. Those who are eligible to submit manually can download the return in their preferred language from the IRD web Portal.
6. In case of any **data filling cage in the Return or a Schedule is not required** to be filled, then nothing should be typed in words such as "not applicable or placing hyphen" in that **cage**.

If a part of a Schedule is not required/not relevant to you, type/write– Not Applicable – across that Schedule or the part of that Schedule.

If the space provided to enter details in a **Schedule** is not enough, add more rows; for manual filler, add a note 'refer the attachment' in that Schedule and provide such details in the same format provided as a separate attachment.



(In the case where the taxpayer has only the business income)

Part A –INCOME LIABLE TO TAX

Employment Income	(Schedule 1)	10													
Business Income	(Schedule 2)	20			2	6	5	8	5	0	0	0	0	0	0
Investment Income	(Schedule 3)	30													
Other Income	(Schedule 4)	40													
ASSESSABLE INCOME (10+20+30+40)		50			2	6	5	8	5	0	0	0	0	0	0

7. Every individual is required to submit a duly completed Return of Income, together with all mandatory schedules and supporting documents, electronically through the IRD e-Filing Portal on or before 30 November 2026.
8. **Payment of Tax**

Individuals who are liable to pay income tax as installment payers are required to settle their tax liability through quarterly self-assessment installments and a final payment.

The due dates and corresponding payment codes for the Year of Assessment 2025/2026 are as follows:

Installment	Due Date (on or before)	Payment Code
1	15 th of August, 2025	25261
2	15 th of November, 2025	25262
3	15 th of February, 2026	25263
4	15 th of May, 2026	25264
Final	30 th of September, 2026	25260



The total of the four quarterly installments, final payment, and any allowable tax credits should be equal to the total income tax liability for the Year of Assessment 2025/2026. Taxpayers are advised to ensure that any balance tax payable is settled on or before the due date of the final payment to avoid the imposition of penalties and interest under the IRA.

09. Penalties, Interest and Imprisonment

Furnishing an incorrect Return or failure to furnish a Return on or before the due date or non-submission of Return will be subjected to **penalties or imprisonment**.

Failure to pay tax on due dates will be subjected to **penalties and interest** as follows;

- Penalty for **late filing** of Return is equal to the **greater of** –
 - (i) 5% of the amount of the tax owing, plus a further 1% of the amount of tax owing for each month or part of a month during which the failure to file continues; and
 - (ii) Rs. 50,000/- plus a further Rs. 10,000/- for each month or part of a month after November 30, 2026.
- A penalty for **making false or misleading statement** is equal to the **greater of** Rs. 50,000 or the amount by which would have the tax payable reduced or refund increased, if it were determined based on such statement.
- In case of **failure to file a Return**, an individual is liable to a fine not exceeding 1 million Rupees or to imprisonment for a term not exceeding one year or both such fine and imprisonment.
- In terms of section 126 of the IRA ,if a taxpayer fails to furnish a Return of Income within the stipulated time period and does not comply with the notice issued by the CGIR within 30days, legal proceedings may be instituted under section 185A to the IRA.
- In case of failure to pay all or part of tax for Y/A;



- **an instalment payment** on the due date, an individual shall be liable to pay a penalty of 10% of the amount of the tax due but not paid.
 - **tax due for a tax period** on the due date or the due date specified in the Notice of Assessment, an individual shall be liable to a penalty of 20% of the tax due but not paid and
 - an interest of 1.5% per month or a part of a month of the late period.
10. **Specified Form** – Return Form is specified by the Commissioner General of Inland Revenue (CGIR) under Section 126 to the IRA and is required to declare income and other particulars for year of assessment 2025/2026 (period from April 01, 2025 to March 31, 2026).

B. INSTRUCTIONS TO COMPLETE THE RETURN FORM

I. Instructions to complete the Return of Income

- This Part consists of two SECTIONS;

SECTION 01 : STATEMENT OF TAX CALCULATION

SECTION 02 : DECLARATION

SECTION 01 - Statement of tax calculation

- This Section comprises five PARTS;

PART A – Income Liable to Tax

PART B – Deductions from Assessable Income

PART C – Calculation of Tax Payable

PART D – Exempt /Excluded /Foreign Remittance

PART E – Mandatory Schedules

Before filling **SECTION 01** of the Return of Income, the **relevant Schedules** should be filled.



As such, follow **INSTRUCTIONS TO COMPLETE RETURN OF INCOME – SCHEDULES** and then complete the remaining part of the Return of Income as shown in the table below;

Part of the Return of Income		Relevant Cage
PART A ASSESSABLE INCOME	-	Cage 50
PART B Total Reliefs Total Deductions from Assessable Income TAXABLE INCOME	- - -	Cage 90 Cage 110 Cage 120
PART C Total Tax Payable Balance Tax Payable Refund Claimed	- - -	Cage 170 Cage 190 Cage 200
PART D Total Exempt / Excluded Income Remitted amounts in Foreign Currency	- -	Cage 210 Cage 210A
PART E Mandatory Schedules		

SECTION 02 – Declaration

Manual filler

With effect from 01.04.2025, only senior citizens and taxpayers approved by the CGIR are permitted to submit tax returns manually.

- Where a Return or part of a Return was prepared for a payment by any person, including by an approved accountant, mark “Yes”, if not, mark “No”. If you marked “Yes” fill **PART-A** of the **DECLARATION**, then attach the certificate/s issued by such person. In a situation where, more than one person involved, use a separate sheet to fill the above details and attach to the Return.



In terms of Section 126(4) of the IR Act, a taxpayer or the taxpayer's duly authorised agent shall sign the Return, attesting its accuracy and completeness.

Therefore, the taxpayer or the taxpayer's duly authorised agent is required to sign the Return indicating his/her name in **PART B** of the **DECLARATION**.

Electronic filler

- Those filling electronically should correctly fill in the declaration section at the end, providing the requested details.
- For electronic submissions, the system automatically calculates and populates the relevant fields based on the information entered in the schedules; therefore, there is no need to fill them manually.

II. Instructions to complete the Return of Income - Schedules

1. The Return of Income and the following Schedules(Standard Return) are electronically offered to e-filing individuals, and the taxpayers who submit such documents in writing may download them from the IRD web portal - www.ird.gov.lk

Schedule 1 – Employment Income

Schedule 2 – Business Income

Schedule 3 – Investment Income

Schedule 4 – Other Income/Foreign Currency Remitted
Amounts to Sri Lanka

Schedule 5 – Qualifying Payments & Expenditure Relief

Schedule 6 – WHT on Final withholding Payments

Schedule 7 – Advance Income Tax(AIT) / Withholding Tax
(WHT)

Schedule 8 – Tax Calculation

Schedule 9 – Tax Credits

Schedule 10 - Loss Adjustment

From the above Schedules, select and complete only those Schedules that are **relevant to you**.



Schedules, which are integral for filling of the Return, are considered as **Mandatory Schedules**. The below table indicates some circumstances where Schedule is to be considered as Mandatory Schedule.

Individual's Income		Schedules									
		1	2	3	4	5	6	7	8	9	10
1	Employment Income	√				√			√	√	
2	Only Business Income		√						√	√	
3	Business Income & Investment income with final WHT		√	√			√		√	√	
4	Only Investment Income with WHT /AIT			√				√	√	√	
5	Other Income with qualifying payment and foreign currency remitted amounts in to Sri Lanka during the year				√	√			√	√	
6	Employment Income, Business Income, Investment Income and other income with final WHT & WHT / AIT	√	√	√	√		√	√	√	√	
7	Only Business income with B/F loss / during the year loss		√								√

SCHEDULE 5, SCHEDULE 6 and SCHEDULE 7 will be mandatory to an individual if any qualifying payment (QP), WHT on final withholding payment and advance income tax/withholding tax respectively to be claimed/declared, in addition to the above marked Schedules.

2. Follow the steps given below to fill the Schedules.

STEP 1 - Select the Mandatory Schedules as for your income source and tax claims.



STEP 2 – Complete Mandatory Schedules and take amounts in Schedules to Return of Income as per the instructions provided for manual filling

For those filling electronically, the schedule data will be automatically populate in the Return of Income.

Special Note-

- With effect from 1 April 2025, foreign source income remitted to Sri Lanka through a licenses bank in foreign currency is liable to income tax. Therefore, such foreign sources income should be identified and declared under the relevant income category, such as Employment, Business, Investment, or Other Income, as applicable.
- Any gains or profits derived from the supply of electricity generated by solar panels installed at the taxpayer's premises should be recognized and declared as business income. Capital allowances are claimable as specified in section 16 of the IRA.
- Taxpayer are provided with pre-filled facilities for information such as Interest, Rent and employment income etc. However, taxpayers are responsible for verifying the accuracy of the pre – filled data before submitting the Return of Income.

SCHEDULE 1- EMPLOYMENT INCOME

All taxable employment income from local sources and foreign sources of resident and local source of employment income of non-residents must be declared under **Schedule 1**.

When completing this schedule, report the following amounts on a **cash basis** (amounts actually received during the year of assessment):

- Employment remuneration (salary, wages, allowances, bonuses and other employment benefits)-Part I
- Terminal benefits-Part I
- Exempt employment income-Part II



- Excluded employment income-Part II

Ensure that each category of income is entered in the appropriate section of Schedule 1. Applicable Tax rate is available in annexure 07.

Separate lines have been allocated to declare primary employment income and terminal benefits named as *A and secondary employment and terminal benefits named as *B

(If there is remuneration or terminal benefits received from more than one secondary employment, you may use the additional rows provided in SCHEDULE 1 – cage 101 & 106.

1. Enter total of **Column 104** into **Cage 105** and total of **Column 109** into **Cage 110**.
2. Take amount in **Cage 110** of **SCHEDULE 01** into Cage **802.1** of **SCHEDULE 8**.
3. Then enter the aggregate amounts of **Cage 105 & Cage 110** into **Cage 111** of this Schedule. Take amount in **Cage 111** to **Cage 10 - EMPLOYMENT INCOME** of the **Return of Income**.
4. **Exempt / Excluded amounts** - Declare details of Exempt/ Excluded amounts related to Employment Income in **PART II** of **SCHEDULE 1**.

(List of exempt / excluded amounts are provided in **ANNEXURE 2** at the end of this Guide)

Finally enter total of exempt / excluded employment income in Cage **115**, into **Cage 210 - Total Exempt / Excluded Income** of the **Return of Income**.

[If there is exempt / excluded business income (Cage 216 SCHEDULE 2), and/or exempt / excluded investment income (Cage 317 SCHEDULE 3) as well, aggregate these with exempt / excluded employment income (Cage 115) and take the total amount to Cage 210 - Total Exempt / Excluded Income of the **Return of Income**.]



SCHEDULE 2 – BUSINESS INCOME

Taxable business income from local sources and foreign source of resident and local source of non-resident must be declared under **Schedule 2 – Business Income**.

When completing this schedule, separately ascertain and declare each category of business income, including:

- Income from a sole proprietorship
- Your share of business income from a partnership
- A beneficiary's share of business income received from a trust

Business income should be declared after deducting any allowable business losses for the year.

Declare details of the above business income under respective lines of Column **201, 202, 205, 206, 207, 210, 211** and **212** in **PART 1 of SCHEDULE 2**.

1. Take aggregate amounts in **Cage 204, 209 and 214** into **Cage 215**. Take amount in **Cage 215** into **Cage 20 -Business Income** of the **Return of Income**.
2. **Exempt / Excluded amount** - Declare details of exempt / excluded amounts related to Business Income in **PART II of SCHEDULE 2**.
3. **Enhanced Capital Allowances- Taxpayers** claiming Enhanced Capital Allowances under the provisions of the IRA should enter the allowable amount in Cage 216A of the Return of Income and retain supporting documentation for verification, if required by the Inland Revenue Department.

(List of exempt amounts are provided in ANNEXURE 2 at the end of this Guide)

Finally enter total of exempt / excluded business income in **Cage 216**, into **Cage 210 - Total Exempt Income** of the Return of Income.



[If there is exempt / excluded employment Income (Cage 115-SCHEDULE-1), and/or exempt / excluded investment income (Cage 317 SCHEDULE-3) as well, aggregate these with exempt / excluded business income (Cage 216 SCHEDULE-2) and take the total amount to Cage 210-SCHEDULE-1].

SCHEDULE 3 – INVESTMENT INCOME

Taxable investment income from local sources and foreign source of resident and local source of non-resident must be declared under **Schedule 3 – Investment Income**

When completing this schedule, ensure that all investment income is accurately reported in the relevant fields and supported by adequate records maintained for tax purposes.

If any deductions made in computing investment income subject to the provisions of IRA amount after the deductions should be declared.

1. Ascertain and report the income received from each of the following categories of investment income separately:

- Interest Income
- Rent income
- Gain on realization of investment assets – Capital Gains
- Dividend
- Any other investment income

2. Dividend Income-

a. Dividend Income – Resident Person

Gain & profit from dividends for the year of assessment commencing on April 01, 2023. Such gain & profit shall be taxed at the rate of 15%.Such amount should declare under schedule 06.

b. Dividend Income – Non – Resident Person



Gain & profit form dividend for the year of assessment commencing on April 01, 2023. Such income should be treated as foreign source income if received in foreign currency via licensed bank subject to tax at the 15%.

3. Take aggregate amounts in **Cage 304, 309 and 314** into **Cage 315**. Take amount in **Cage 315** to **Cage 30** of the **Return of Income**. This amount will be the income from **Investment Income**.

4. Reliefs for Rent Income

Relief of 25 *percent* of the total rental income can be deducted, in case of an individual with rental income from an investment asset. Enter this amount into **Cage 316** of **PART II** of **SCHEDULE 3**. Then take this amount to **Cage 60** of the **RETURN OF INCOME**.

5. Declare details of **exempt amounts** related to Investment Income in **PART III** of **SCHEDULE 3**.

(List of Exempt Amounts are in **ANNEXURE 2** at the end of this Guide)

Finally enter total in **Cage 115** (Exempt / Excluded Employment Income) of **SCHEDULE 1**, **Cage 216** (Exempt / Excluded Business Income) of **SCHEDULE 2** and **Cage 317** (Exempt / Excluded Investment Income) of **SCHEDULE 3** into **Cage 210 - Total Exempt / Excluded Income** of the **Return of Income**.

6. In case of interest income / Dividend income / Rent / Winnings from lottery, rewards, betting or gambling / Discount income / Other Investment Income discount charge / Royalty / Premium or similar product/ natural resources payment each individual source of income shall be considered on an actual basis.
7. The clarity of the tax implications relating to receipts under life insurance policies has been improved through the introduction of the new Section 52A. Accordingly, any amount received by an individual under a life insurance policy, either as the policyholder or as a beneficiary, shall be excluded from the assessable income upon the death of the insured person, maturity of the policy, or surrender of the



policy.

SCHEDULE 4 – OTHER INCOME

1. Enter details of other income in the corresponding lines in **Column 401**.
2. Take amounts in **Cage 403** into **Cage 40** of the **Return of Income**.
3. Enter amount in **406 e** into cage **210A** of the return

Note - Gains from the realization of motor vehicles shall not be treated as other income for the purposes of Section 8 of the IRA.

Losses arising from the realization of such motor vehicles are not allowable as deductions.

Gains arising from the disposal of motor vehicles trading stock and depreciable assets eligible for capital allowances under the provisions of the IRA are not required to be included under other sources of income.

Above gains should be enter to cage 407

SCHEDULE 5 – QUALIFYING PAYMENTS & EXPENDITURE RELIEF

- ❖ A list of qualifying payments (QP) is available in **ANNEXURE 3**.
- ❖ There are five sub schedules in **SCHEDULE 5**.
 - **SCHEDULE 5A** – For qualifying payments made during the year (as per Inland Revenue Act, No. 24 of 2017, Amendment Act, No. 10 of 2021 & Amendment Act, No. 45 of 2022)
 - **SCHEDULE 5B** - For qualifying payments brought forward from the year of assessment 2024/2025 (Out of **QP made prior to 01.04.2018** - as per Inland Revenue Act, No. 10 of 2006)



- **SCHEDULE 5C** – For expenditure on solar panels fixing on his premises by resident individual made during the year (as per the Inland Revenue Amendment Act, No. 10 of 2021 (Maximum Rs. 600,000/- for each year or actual expenses whichever is less)
- **SCHEDULE 5D** – For expenditure on film industry (expenditure on construction and equipping or upgrading a cinema should be certified by the National Film Corporation of Sri Lanka as per the Inland Revenue Amendment Act, No. 10 of 2021.)
- **SCHEDULE 5E-Donation to Government and Government Funds**
With effect from 1 April 2025, unutilized qualifying donations to the government of Sri Lanka or a Government established fund may be carried forward to subsequent years of assessment.

➤ **Qualifying Payments**

Enter qualifying payments, if any, into relevant Cages of SCHEDULE 5A and SCHEDULE 5B.

Take aggregate amounts in **Column 503** and **Column 507** of **SCHEDULE 5** to **Cage 504** and **Cage 509** respectively.

Take the amount in **523** of **Schedule 5D** into **Cage 503.5** of **SCHEDULE 5A**

Take the amount in A+B of Schedule 5E into **Cage 503.2** of **SCHEDULE 5A**.

Then take the total of **Cage 504** and **Cage 509** to **Cage 510**, to arrive at total deductible QP.

Take amount in **Cage 510** to **Cage 100** of the **Return of Income**. This amount will be the total amount of qualifying payments deductible for the year of assessment.



SCHEDULE 6 – WHT ON FINAL WITHHOLDING PAYMENTS

Table of **Final Withholding Payments, Non-Final Withholding Payments and applicable tax rates** are provided in **ANNEXURE 4**.

1. The **SCHEDULE 6** comprises of two sub schedules as follows;
 - **Schedule 6A** – Final Withholding Payments - WHT deducted by the withholding agent
 - **Schedule 6B** - Final Withholding Payments - WHT failed to deduct by the Withholding Agent
2. **Schedule 6 A - Final Withholding Payments - WHT deducted by the Withholding Agent –**

Enter details of each final withholding payment on which withholding tax has been **deducted by the Withholding Agent**, in given lines under **Columns 601 to 606**. Enter **Total Final WHT deducted** in **Cage 607**.

3. **Schedule 6 B - Final Withholding Payments - WHT failed to deduct by the Withholding Agent**

Enter details of WHT payments, though liable for deduction of WHT by withholding Agent, but have **not been deducted** by the Agent, in given lines under **Columns 608 to 613** of **SCHEDULE 6 B**. Enter **Total of Column 612** into **Cage 614**.

Finally take the amount in **Cage 614** to **Cage 811** of **SCHEDULE 8 - TAX CALCULATION**.



SCHEDULE 7 – ADVANCE INCOME TAX (AIT) / WITHHOLDING TAX (WHT)

1. This Schedule comprises of three sub schedules as follows;
 Schedule 7A – AIT/WHT deducted by the Withholding Agent
 Schedule 7B – WHT failed to deduct by the Withholding Agent
 Schedule 7C - AIT from Partnership
2. Enter details of payments of which WHT had been deducted including advance receipts as follows;

Advance Income Tax/Withholding Tax Payment	Schedule	Relevant Columns /Cage
A. Advance Income Tax Withholding Tax - deducted by the Withholding Agent	Schedule 7A	Columns 701 to 706
B. Withholding tax - failed to be deducted by the Withholding Agent	Schedule 7B	Columns 712 to 717
C. AIT from Partnership	Schedule 7C	Cage 723, 724

3. Use separate rows for different sources and types (Eg. rent, service fees, royalty, etc.) of receipts. When stating the source,
 - if the receipt is a Business Income, then indicate **B**,
 - if the receipt is an Investment Income, then indicate **I**.
 When stating the type of the receipt, if the type of income is rent, then indicate **Rent**.

Accordingly, different sources and types in **Column 701 from line .1 to .5** would read as follows;

Eg. Rent income from a business – B-Rent
 Rent income from an investment –I-Rent



4. Schedule 7 A – Advance Income Tax/ Withholding Tax - deducted by the Withholding Agent

- i. Enter details of each AIT/WHT deductions (including AIT/WHT on advance payments) under given Columns from **Column 701 to 706 of Schedule 7 A**
- ii. Enter **Total of Cage 706 - total of AIT/WHT deducted by WHT Agents in Cage 707**. Enter **AIT/WHT B/F on Advance Receipt** from Y/A 2024/2025 in **Cage 708**.
- iii. Enter total of **Cage 707** and **Cage 708** into **Cage 709**.

If opted to; claim total AIT/ WHT in Y/A 2025/2026, enter amount in **Cage 709 into Cage 710**. Enter amount in **Cage 710** into **Cage 908 of SCHEDULE 9** to claim the total credit. Then the amount of **Cage 711** will be Nil; or

If opted to; carry forward the WHT on Advance Receipts to be deducted in future year of assessment, enter total WHT deducted during the year of assessment in **Cage 707**. AIT/WHT brought forward deducted on advance receipt should be entered into **Cage 708**. Deduct the relevant AIT/WHT claim for the year of assessment 2025/2026 (**Cage 710**) from the amount in **Cage 709**. Enter amount in **Cage 710** into **Cage 908 of SCHEDULE 9** to claim the credit. Balance amount in **Cage 711** will be WHT carried forward on Advance Receipt to next relevant year.

5. Schedule 7 B - Withholding Tax - failed to deduct by the Withholding Agent

- i. Enter details of WHT payments, though liable for deduction of WHT by withholding Agent, but have **not been deducted** by the Agent, in given lines under **Column 712 to 717 of SCHEDULE 7 B**.
- ii. Enter **Total of Column 717 - total of WHT paid by the Withholdee in Cage 718**. Enter **WHT B/F on Advance Receipt** from Y/A 2024/2025 in **Cage 719**.
- iii. Enter total of **Cage 718** and **Cage 719** into **Cage 720**.



If opted to claim the total WHT in Y/A 2025/2026;

- enter amount in **Cage 720** into **Cage 721**. Enter amount in **Cage 721** into **Cage 933** of SCHEDULE 9B to claim the credit. Then the amount of **Cage 722** will be Nil; or

If opted to carry forward the WHT on Advance Receipts to be deducted in future year of assessment;

- enter total WHT paid by the withholder during the year of assessment in **Cage 718**. Brought forward WHT paid by the withholder on advance receipt during the year of assessment 2024/2025 should be entered into **Cage 719**.
- deduct the relevant WHT claim for the year of assessment 2025/2026 (**Cage 721**) from the amount in **Cage 720**. Enter amount in **Cage 721** into **Cage 933** of SCHEDULE 9B to claim the credit. Balance amount in **Cage 722** will be WHT carried forward on Advance Receipt to next relevant year.

6. Schedule 7 C – AIT from Partnership

- AIT allocated by a partnership to partners should be declared in this Schedule.
- If you are a partner of a partnership, enter amount of AIT, **allocated from the Partnership in Cage 723**. Enter AIT **B/F on Advance Receipt** from the year of assessment 2024/2025 in **Cage 724**. Enter total of **Cage 723** and **Cage 724** into **Cage 725**.

If opted to claim total AIT in Y/A 2025/2026;

- enter amount in **Cage 725** into **Cage 726**. Enter amount in **Cage 726** into **Cage 907** of SCHEDULE 9 to claim the credit. Then the amount of **Cage 727** will be Nil; or

If opted to carry forward the AIT on Advance Receipts to be deducted in future year of assessment;



- Deduct the relevant AIT **claimed for the year of assessment 2025/2026** (Cage 726) from the amount in **Cage 725**. Enter amount in **Cage 726** into **Cage 907** of **SCHEDULE 9** to claim the credit. Balance amount in **Cage 727** will be the AIT **carried forward on Advance Receipt** to next relevant year.

SCHEDULE 8 - TAX CALCULATION

1. This Schedule comprises of six parts, namely; **A, B, C, D, E and F**.

a) Taxable Income

Enter **Cage 120 - Taxable Income** from the **Return of Income** into **Cage 801** in this part **A**.

b) Calculation of Income Tax on Terminal Benefits

- i. Terminal benefits are taxed at concessionary rates or normal progressive rates.
 - A list of terminal benefits liable to tax at concessionary rates is provided in **ANNEXURE 5** at the end of this Guide.
 - Concessionary Rates applicable for terminal benefits are provided in **ANNEXURE 6** at the end of this Guide.
 - Progressive Tax Rates are provided in **ANNEXURE 7**
- ii. Enter **Cage 110** of **PART 1** of **SCHEDULE 1** into line **802** in **Column .1 – Income** of this Schedule.
- iii. Enter terminal benefits, which are **liable to tax at concessionary rate of tax**, under the relevant lines (**line 803.a, line 803.b and line 803.c**) in **Column .1- Income** with corresponding tax rate in **Column .2 -Rate** for which that terminal benefit is liable to tax.
- iv. Enter such part of terminal benefits, liable to tax at normal rate, under **line 804** in **Column .1 - Income**.



- v. Then calculate the tax by applying either the relevant concessionary tax rates or normal progressive tax rates as for **ANNEXURES 6 or 7** at the end of this Guide.
 - vi. Enter such amount of tax pertaining to income relevant to Cages 803 a, 803 b, 803 c and 804 into in the respective Cages from Cages 803a .3, 803b.3, 803c.3 and 804.3 in Column .3.
 - vii. Finally enter aggregate amounts in **Cages 803a.3, 803b.3, 803c.3 and 804.3** and enter such total in **Cage 805**. Take amount in **Cage 805** to **Cage 130** of the **Return of Income**.
- c) Tax on Gain on Realization of Investment Assets**
- i. Gains on realization of Investment Assets (Capital Gain on sale of investment assets) are taxed at **10 %**.
 - ii. Enter capital gains on sale of investment assets from other than from a partnership, in line **806** under **Column .1 – Income**.
 - iii. Enter the corresponding tax in line **806** in **Column .3 – Tax**.
- d) Tax on Gain on Realization of Investment Assets from Partnership**
- i. Capital gains on sale of Investment Assets from partnership are **taxed at 10 %**.
 - ii. Enter such capital gain on sale of investment assets from a partnership, in **line 807** under **Column .1 – Income** and the relevant tax in same lines under **Column .3 – Tax**.
 - iii. Enter total of **Cage 806.3 and Cage 807.3** into **Cage 140** of the **Return of Income**.
- e) Tax on Balance Taxable Income**
- The balance taxable income need to be identify under following headings and insert in the relevant cages.
- Tax on Taxable Income from Betting & Gaming, Manufacture & sale or Import & sale of any Liquor or Tobacco products
 - Applicable tax rate is **45% with effect from 01.04.2025**



- Enter taxable income in **Cage 808.1** and Tax on such income in **Cage 808.3**.
- Tax on Balance Taxable Income to be taxed at the progressive income tax rates
 - **Progressive income tax rates** are applicable.
 - Enter Taxable Income in **Cage 809 A.1**.
 - Apply progressive income tax rates given in **ANNEXURE 7** at the end of this Guide.
 - Enter such Tax in **Cage 809A.3**.
- **Tax on Taxable Income from Foreign Sources**

If an individual receives income from foreign sources in foreign currency and remits such income to Sri Lanka through a licensed commercial bank, such income qualifies for concessional tax treatment.

To calculate the tax:

- Enter the relevant taxable income from foreign sources in **Cage 809 B.1**.
- Apply the progressive income tax rates specified in **Annexure 7**.
- The tax applicable to such income is subject to a maximum rate of **15%**.
- Enter such Tax in **Cage 809 B.3**.
- **Any other taxable income, enter to 809 C.1, rates to 809 C.2 and tax to 809 C.3**
 - Enter aggregated amounts in **Cage 808.3, Cage 809A.3, Cage 809B.3 and 809C.3** into **Cage 810**.

Finally take amount in **Cage 810** to **Cage 150** of the **Return of Income**



f) Tax on Final Withholding Payments

- Enter aggregate amount of Cage 614 of Schedule 6 into Cage 811.
- Finally take amount in Cage 811 into Cage 160 of the Return of Income.

SCHEDULE 9 - TAX CREDITS

Enter available tax credits into relevant Cages in **SCHEDULE 9**.

a) Foreign Tax Credit (Cage 901)

If you are entitled to a foreign tax credit under Sections 80 and 81 of the IRA, enter the allowable credit amount in **Cage 901** of Schedule 9.

- The credit is available for foreign income taxes paid on income that is also taxable in Sri Lanka.
- The credit claimed cannot exceed the amount of Sri Lankan income tax attributable to that foreign income.
- Any excess foreign tax paid cannot be refunded or carried forward, unless specifically allowed by the Act.
- Only taxes attributable to income or profits qualify for the credit; indirect taxes such as VAT or similar levies do not qualify.

Taxpayers should retain supporting documents, such as foreign tax certificates or assessments, to substantiate the claim.

b) 60% of Self Assessed Tax refund claim (Cage 902A)

With effect from 01.04.2023, a taxpayer is entitled to set off up to 60% of the refundable amounts against subsequent future income tax liabilities prior to a tax audit. If available, enter such amounts in **Cage 902A**.



c) APIT paid on Employment Income – Primary Employment (Cage 903)

Individuals who have employment Income from Primary Employment are entitled to claim tax credit on APIT deducted by the Primary Employer.

Enter APIT deductions made by Primary Employer on Remunerations in **Cage 903A, 903B, 903C**. Attach A.P.I.T. / T. 10(new) Certificates issued by your Primary Employer.

d) APIT paid on Employment Income – Secondary Employment (Cage 904)

Individuals who have more than one employment, employments other than Primary Employment are considered as Secondary Employment. Enter APIT deductions made by each second employer on Remunerations separately (Please attach A.P.I.T. / T. 10(new)).

e) Tax paid for Terminal Benefits (Cage 905)

Tax deducted and paid can be claimed as a credit. Enter such amount in Cage 905.

f) Partner's Share of Partnership Tax (Cage 906)

Before filling this Cage, you have to fill **SCHEDULE 9B**

- Partnerships are liable to pay income tax on taxable income of the partnership.
- Enter balance share of partnership tax brought forward from Y/A 2024/2025 into **Cage 922**.
- Enter partner's share of partnership tax paid for 2025/2026 into **Cage 923**.



- Enter total partner's share of partnership tax (Total of **Cage 922** and **Cage 923**) into Cage 924 and deductible amount for Y/A 2025/2026 into **Cage 925**.

g) AIT from the Partnership (Cage 907)

Take allocated amount in **Cage 726** of **SCHEDULE 7 C** to **Cage 907**.
(Amount allocated from the Trust also can be entered)

h) Advance Income Tax Credit – AIT deducted by the withholding agent. (Cage 908)

Take amount in **Cage 710** of **SCHEDULE 7 A** to **Cage 908**

i) Tax paid on Gain on Realization of Investment Assets (Cage 909)

Enter paid amounts in Cage 909.

j) Tax paid on Gain on Realization of Investment Assets from the Partnership (Cage 910)

Enter allocated amounts by the Partnership in **Cage 910**.

k) Installment Payments and AIT/WHT paid by Withholder (Cage 911)

Before filling this Cage, you have to fill **SCHEDULE 9B**

- Enter instalment payments and final payment in the given rows.
- Enter aggregated amount of Instalment payments and final payment in **Cage 932**.
- Enter amounts of advance income tax/withholding tax payments made by withholder as per **Cage 614** of Schedule 6 B & **Cage 721** of Schedule 7 B into **Cage 933**.
- Enter aggregate amount of Cage 932 & 933 into Cage 934.
- Take amount in Cage 934 into Cage 911 of Schedule 9.



- I) Enter aggregate amount from **Cage 901 - Cage 911** into **Cage 912**.
Finally take amount in **Cage 912** into **Cage 180** of the **Return of Income**.**

SCHEDULE 10 – LOSS ADJUSTMENT

- i. Losses incurred during the year of assessment or brought forward losses should be declared in this Schedule.
- ii. Part 1A and 1B are provided to declare the business losses that would have been taxed at the rate of 45% and progressive rates respectively if the loss was a profit. The Part II and Part III are provided to declare the investment and exempt losses respectively.
- iii. Enter B/F losses from Y/A 2019/2020, 2020/2021, 2021/2022, 2022/2023, 2023/2024 and 2024/2025 relevant to that line & current year loss in the next line in Column 0.2.
- iv. Enter profit of the current Y / A, which is considered to set off the losses, in Columns 0.3 to 0.7.
- v. An asset owned by a person is used in the production of different gains and profit from business (including losses) taxable at different tax rates, the cost of, and consideration received for the asset shall be apportioned among such gains and profits, according to the market value of the parts of the assets used to produce respective gains and profits.

C. INSTRUCTIONS TO COMPLETE THE STATEMENT OF ASSETS AND LIABILITIES

- A* - Denoted all the immovable property in Sri Lanka.
- B* - Denoted all the immovable property outside Sri Lanka.
- A* 1 - The details about the resident place belongs to you as at 31.03.2026



In terms of Section 126(2) of the IRA, the Commissioner General may specify the information to be furnished on the Return and attachments, if any, required to be filed with the Return.

Accordingly, you are required to furnish the value of (your) every Asset and Liability (in or outside Sri Lanka) as at the last date of the year of assessment, 31 March 2026 in the form **Statement of Assets and Liabilities**, provided to you with the Return, and submit together with the Return.

(Please declare the acquisition cost or market value, if it is not an acquisition)

PART 01

A. Immovable Properties:

Declare all your immovable properties (situated in or outside Sri Lanka) as at 31.03.2026 with values.

B. Movable Properties:

Declare with values of all movable properties (in or outside Sri Lanka) such as Motor Vehicles in B(i), Bank balances including Term Deposits in B(ii), and Shares/Stocks/Securities in B(iii), Cash in Hand in B(iv), Loan given & amounts receivable in B(v) and Value of gold, silver, gems, jewelry, coins, paintings, antiques, stamps, sculptures, other collectibles and virtual assets in B(vi) as at 31.03.2026.

C. Properties held as a Part of Business

The values of properties as a part of a business i.e. the balance of capital and current account as at 31.03.2026 should be declared. (Attach the copies of the balance sheet, if applicable).

D. Liabilities as at 31.03.2026

All the liabilities, including loans to be paid to a person or institution during the year should be declared in this Part.



PART 02

A. Any other assets acquired or gift received during the year

Declare the values of Gold, Silver, and Gems & Jewellery, coins, paintings, antiques, stamps, sculptures, other collectibles and virtual assets acquired or gift received by you as at 31.03.2026.

Declare the total value of the assets including acquired properties and gifts received.

B. Disposal of assets including shares (sale/ transfer/ gift) during the year

Declare the total value of the assets disposed during the period from 01.04.2025 to 31.03.2026 (sales, exchanges, gifts).

ANNEXURES

ANNEXURE 1 – LIST OF AVAILABLE RELIEFS

Reliefs provided under paragraph 2 of the Fifth Schedule to the IRA:

- a) **Personal Relief** - Relief granted under subparagraph (a) of paragraph 2 of Fifth Schedule to the IRA - Rs. 1,800,000 for the year of assessment up to the aggregate assessable income (except gains from the realization of investment assets).
- b) **Rent Relief** - Relief granted under subparagraph (c) of paragraph 2 of the Fifth Schedule to the IRA – 25% of the total rental income for the year of assessment.
- c) Relief granted under subparagraph (g) of paragraph 2 of the Fifth Schedule to the IRA – Resident individual who has acquired solar panels to fix on his premises and connected to the national grid, Rs. 600,000 for each year of assessment upto the total expenditure on such solar panels or upto the amounts paid to a bank in respect of any loan obtained to acquire such solar panels.

Note: Above aggregate reliefs are deductible in arriving at the taxable income of an individual who is resident in Sri Lanka for a year of



assessment subject to the provisions of IRA. However, non-resident individuals but citizens in Sri Lanka can deduct the personal relief mentioned under above paragraph (a) in arriving at the taxable income of such individual.

ANNEXURE 2 - LIST OF EXEMPT AMOUNTS (RELEVANT TO INDIVIDUALS)

(1) Exemptions available in the IR Act No. 24 of 2017 to the date.

- a) Capital sums paid to a person as compensation or a gratuity in relation to –
 - a) personal injuries suffered by the person; or
 - b) the death of another person;
- b) The pension of a person where the pension income is paid by the Government of Sri Lanka or a department of the Government of Sri Lanka;
- c) An amount paid to an employee at the time of retirement from—
 - i) any pension fund or the Employees Trust Fund established by the Employees Trust Fund Act, No.46 of 1980, as represents income derived by that fund, for any period commencing on or after April 1, 1987, from investments made by it;
 - ii) a provident fund approved by the Commissioner General or any regulated provident fund;
- d) The income of an individual entitled to privileges to the extent provided for by –
 - i) a diplomatic immunities law or a similar law;
 - ii) an Act giving effect to the Convention on the Privileges and Immunities of the United Nations and the Convention on the Privileges and Immunities of the Specialized Agencies of the United Nations; or



- iii) regulations made under this Act relating to an international organization, or a law or Act referred to in subparagraph (i) or (ii);
- e) A gain made by a resident individual from the realization of an investment asset that does not exceed Rs. 50,000 and where the total gains made by the resident individual from the realization of investment assets in the year of assessment do not exceed Rs. 600,000, except –
 - i. where the Commissioner-General is satisfied that an investment asset has been realized in two or more parts, any gain arising from the realizations shall be exempt under this paragraph only if the total gain from the realization of all parts does not exceed Rs. 50,000 and the total gains made by the resident individual from the realization of investment assets in the year of assessment do not exceed Rs. 600,000;
 - ii) in the case of the realization of an investment asset that is jointly owned, this paragraph applies only if the total gain made by all owners of the investment asset on realization of the asset does not exceed Rs. 50,000 and the total gains made by the resident individual in the year of assessment do not exceed Rs. 600,000;
- f) A gain made by a resident individual on the realization of the individual's principal place of residence, provided it has been owned by the individual continuously for the three years before being realized and lived in by the individual for at least two of those three years (calculated on a daily basis);
- g) Gain made on realization of an asset consisting of shares quoted in any official list published by any stock exchange licensed by the Securities and Exchange Commission of Sri Lanka;
- h) Any prize received by a person as an award made by the President of the Republic of Sri Lanka or by the Government in recognition of an invention created, or any research undertaken, by such person;



- i) Any sum received by any person from the President's Fund established by the President's Fund Act, No. 7 of 1978 or national Defence Fund established by the National Defence Fund Act, No. 9 of 1985;
- j) Any income earned by
 - (a) any non-resident person (other than a Sri Lankan permanent establishment) by way of interest, discount or realization of any gain on any sovereign bond denominated in local or foreign currency
 - (b) any person by way of interest or discount paid or allowed, as the case may be, on any sovereign bond denominated in foreign currency, including Sri Lanka Development Bonds, issued by or on behalf of the Government of Sri Lanka.
- k) Any amount derived by a senior citizen from an annuity for life for a period of not less than ten years purchased from a bank or an insurance company registered under the Regulation of Insurance Industry Act, No. 43 of 2000.
- l) A gain from the realization of Sri Lanka international sovereign bonds issued by or on behalf of the Government of Sri Lanka and received or derived by a commercial bank or authorized dealer who made an aggregate investment not less than USD 100 Million in such bonds on or after April 1, 2021;
- m) Any winning from a lottery, the gross amount of which does not exceed Rs. 500,000
- n) Benefits received or derived by an employee of the government of Sri Lanka from a road vehicle permit issued to that employee;
- o) Any amount derived by a person from the sale of any gem on which tax has been deducted at 2.5% under subsection (2) of section 84 of the IR Act.
- p) The interest accruing to or derived by any person outside Sri Lanka on any loan granted to any person in Sri Lanka or to the Government of Sri Lanka



- q) any amount derived on or after April 1, 2018, by any non- resident person as any payment for air craft, software licenses or as for other related services from the Sri Lankan Airlines Limited
- r) amounts derived by a non-resident person from engaging in a project of the Government of Sri Lanka, if such project is approved by the Minister taking into consideration the economic benefits to the country, and is totally funded from foreign grants
- s) The interest accruing to or derived by any person on moneys lying to his credit in foreign currency in any foreign currency account opened by him or on his behalf, in any commercial bank or in any specialized bank, with the approval of the Central Bank of Sri Lanka.
- t) The interest accruing to or derived by any person from a term deposit account titled as “Special Deposit Account” opened and maintained with an authorized dealer in Sri Lanka as prescribed by regulations made by the Minister under section 29 read with section 7 of the Foreign Exchange Act, No. 12 of 2017, (excluding the subsequently renewed accounts), either in any designated foreign currency or in Sri Lanka Rupees on or after April 8, 2020
- u) Dividends paid by resident companies engaged in commercial hub operations.
- v) Dividends from and gains on the realization of shares in a non-resident company where derived by any person with respect to a substantial participation in the non-resident company. (as defined the substantial participation in paragraph (r) to the Third Schedule to the IRA)

ANNEXURE 3 – LIST OF QUALIFYING PAYMENTS

- a) Donations made in money to an approved charitable institution - subject to the amount of one fourth of the total assessable income (one third of the taxable income) or Rs. 75,000 or amount donated, whichever is less.



- b) Donations made in money or otherwise to the Government or any specified institutions in the Fifth Schedule to the IR Act.
- c) Any un-deducted balance of any qualifying payment brought forward from the previous year of assessment according to the Inland Revenue Act, No. 10 of 2006.
- d) With effect from April 1, 2021 contribution made by a resident individual in money or otherwise to establish a shop for a female individual who is from a Samurdhi beneficiary family as recommended and confirmed by the department of Samurdhi Development
- e) Expenditure incurred on or after April 1, 2021, by any person
 - (i) In the production of a film at a cost of (including promotional expenditure of such film) not less than five million rupees;
 - (ii) In the construction and equipping of a new cinema at a cost of not exceeding twenty five million rupees;
 - (iii) In the Upgrading of a cinema at a cost of not exceeding ten million rupees;

Providing that, the deduction under this subparagraph shall be restricted to one third of the taxable income of the year of assessment, and any amount which is not deducted in current year may be carried forward and deducted in the next succeeding year and so on, subject to the same restriction.

- (f) A donation made by an individual or entity, whether in money or otherwise, to the Government of Sri Lanka or to a fund established by the Government of Sri Lanka, which is deductible in arriving at taxable income as a qualifying payment, may be carried forward to the next year of assessment and subsequent years after deduction from the total assessable income for the relevant year of assessment (effective date 01.04.2025).



ANNEXURE 4 – TABLE OF FINAL WITHHOLDING PAYMENTS, NON-FINAL WITHHOLDING PAYMENTS AND APPLICABLE TAX RATES

	Type of Payment	WHT Rate
(a)	Amounts paid as winnings from a lottery, reward, betting or gambling, other than amounts received in conducting a business consisting of betting and gaming.	14% final
(b)	Payments (other than interest) made to non-resident person that are subject to WHT (other than payment derived through a Sri Lankan permanent establishment).	14% final
(c)	Interest or discount paid to or treated as being derived by a non-resident person	10% final
(d)	Sale price of any gem sold at an auction	2.5% (exempt)
(e)	Service fee payments exceeds Rs. 100,000 per calendar month to a resident individual who is not an employee of the payer with respect to following – (a) for teaching, lecturing, examining, invigilating or supervising an examination; (b) as a commission or brokerage to a resident insurance, sales or canvassing agent; or (c) for services provided by such individual in the capacity of independent service provider such as doctor, engineer, accountant, lawyer, software developer, researched, academic or any individual service provider as may be prescribed by regulation	5% on full payment
(f)	Interest of discount paid	10%
(g)	Rent payments to a resident person (if aggregate amount exceeds Rs. 100,000 per calendar month)	10% on full payment
(h)	Charge, natural resource payment or premium	14%
(i)	Royalty	14%
(j)	Dividend (Dividend declared by a resident company on or after January 01, 2023 is a Final WHT)	15%(final)



APPLICABLE TAX RATES

ANNEXURE 5 – LIST OF TERMINAL BENEFITS LIABLE TO TAX AT CONCESSIONARY RATES

- i. Amount received in commutation of a pension.
- ii. Amount received as a retiring gratuity.
- iii. Amount received as compensation for loss of office or employment under a scheme which the commissioner general considers to be uniformly applicable to all individuals employed by the employer.
- iv. Amount paid to a person at or after the time of retirement from employment from the Employees' Trust Fund, established by the Employees' Trust Fund Act, No. 46 of 1980.

With respect to **compensation for loss of office** or employment which has not been approved by the Commissioner General of Inland Revenue (CGIR), payment from provident fund (which is not a regulated fund or not an approved fund by the CGIR), other payments or any retirement non-cash benefit are subject to Standard (Progressive) tax rates.

ANNEXURE 6– CONCESSIONARY RATES APPLICABLE FOR TERMINAL BENEFITS

TOTAL TERMINAL BENEFITS FROM EMPLOYMENT	TAX PAYABLE
1st - Rs. 10,000,000	0%
2nd - Rs. 10,000,000	6%
On the balance	12%



ANNEXURE 7 – STANDARD (PROGRESSIVE) INCOME TAX RATES

Rates applicable for the Year of Assessment 2025/2026

	Taxable Income	Tax Rate
Year of Assessment 2025/2026 (Form April 01 st 2025 to March 31 st 2026)	First - Not exceeding Rs. 1,000,000	6%
	Second - Exceeding Rs.1000,000 but not exceeding Rs. 1,500,000	18%
	Third - Exceeding Rs. 1,500,000 but not exceeding Rs. 2,000,000	24%
	Fourth- Exceeding Rs. 2,000,000 but not exceeding Rs. 2,500,000	30%
	Balance Amount	36%

Other Special tax rates

- Business consisting of betting and gaming, manufacture and sale or import and sale of any liquor or tobacco products (other than buying & selling) – **45%**
- Foreign Service income and foreign source income receives in foreign currency and remitted to Sri Lanka through a bank.

Year of Assessment 2025/2026	Taxable Income	Tax Rate
	Not exceeding Rs. 1,000,000	6%
	Balance	15%

Special Notes

In addition to the above guide lines, tax payers are hereby advice to follow the circulars related to the income tax issued by the commissioner General of Inland Revenue from time to time which have been published in the IRD web portal www.ird.gov.lk



CONTACT DETAILS

Please contact IRD officers of the Secretariat or the relevant Regional Office for more details.

Head Office	Secretariat	0112135413 0112135430 0112135434 0112135438 0112135440 0112135441
	Consultation and Promotion Unit	0112134205 0112134274-80
Metropolitan Branch	Colombo City	0112504390
Metropolitan Branch	Colombo Central	0112505274
Metropolitan Branch	Colombo South	0112502564
Nawam Mawatha	Unit 1 & 2	0112302249
Regional Office	Anuradhapura	0252235512
Regional Office	Badulla	0552222490
Regional Office	Batticaloa	0652222087
Regional Office	Dambulla	0662283655
Regional Office	Galle	0912222504
Regional Office	Gampaha	0332234246
Regional Office	Jaffna	0212222076
Regional Office	Kalutara	0342222216
Regional Office	Kandy	0812223590
Regional Office	Kegalle	0352222493
Regional Office	Kurunegala	0372222798
Regional Office	Maharagama - East	0112803127
Regional Office	Maharagama- West	0112803125
Regional Office	Matara	0412222933
Regional Office	Negombo	0312228322
Regional Office	Nuwara Eliya	0522222520
Regional Office	Rathnapura	0452222040



TAXES - FOR A BETTER FUTURE



ILLUSTRATIONS

Example 01:

Ms Yohani is a Senior Quality Assurance Executive at Rasa Mihira (Pvt) Ltd. She receives monthly salary including all allowances amounting to of Rs. 240,000.00 .During the Year of Assessment 2025/2026 she receives interest income of Rs. 140,000.00 (WHT 10% has been deducted at the source). She paid Rs.74,400 as APIT.

Computation of Income Tax Liability of Ms. Yohani for the Year of Assessment 2025/2026

		Rs
Employment income	240,000 X 12	2,880,000
Investment Income		
Interest income		140,000
Assessable Income		3,020,000
Less		(1,800,000)
Personal Tax Relief		
Taxable Income		1,220,000
Tax Calculation	1,000,000 x 6%=60,000 220,000 x 18%=39,600	99,600
Less -Tax Credits		
- APIT		(74,400)
- WHT on Interest		(14,000)
Balance tax payable		11,200

Example 02:

Mr Chatura provides IT and digital transformation lecturing services to local and international Institutes.

Mr Chatura's income for the year of assessment 2025/2026 is as follows;

- Lecturing fee foreign Gross amount Rs 9,000,000(Subject to 20% WHT at the source country)



- Lecturing fee from local Institute Rs 5,000,000(Subject to 5% AIT)
- All applicable expenses and capital allowances have been deducted.
- He paid Rs.400,000 as a quarterly installment

Computation of Income Tax Liability of Mr. Chathura for the Year of Assessment 2025/2026

		Rs
Business Income		
Lecturing fee foreign		9,000,000
Lecturing fee from local Institute		5,000,000
Assessable Income		14,000,000
Less - Relief		
Personal Tax relief		(1,800,000)
Taxable Income		12,200,000
Tax calculation	Foreign	Local
	9,000,000 x 15%	1,000,000x 6%=60,000 500,000x18%=90,000 500,000x24%=120,000 500,000x30%=150,000 700,000x36%=252,000
	1,350,000	672,000
Less – Tax Credit		
- Foreign Tax Credits	1,350,000	-
- AIT	-	250,000
Balance tax payable after above tax credits	0	422,000
Installment Payment		400,000
Balance Payable		22,000



Remakes- Foreign sourced income received in foreign currency through a licensed bank is taxable, and the foreign tax credit is limited to the tax Liabilities on foreign sourced income. It cannot be set off against any other tax liability. Furthermore, it is non-refundable.

Example 3

Mr. Amith is a YouTuber who produces vlogs featuring traditional Sri Lankan cuisine. His audience includes both international and Sri Lankan viewers. Recently, he reached 8 million subscribers.

Mr Amith's income for the year of assessment 2025/2026 is as follows;

- You Tube advertising Revenue-
 - From local audience Rs.10,760,000
 - From foreign audience Rs.33,360,000
- Sponsorship and brand promotion Income
 - From local companies Rs.28,840,000
 - From foreign companies Rs.49,920,000

(After deducting expenses and capital allowances)

He received foreign income, which is remitted in foreign currency through Bank of Ceylon.

- He earned Rs.890,000 from guest lecturing services provided to hotel collages in Sri Lanka.(5% AIT has been deducted)
- He has donated raw food items worth Rs.2,500,000 to his primary school(Government school) for use in the morning meal program.
- He paid Rs.8, 160,000 as a quarterly installment.



Computation of Income Tax Liability of Mr. Amith for the Year of Assessment 2025/2026

		Rs.
Employment Income		-
Business Income		
Local Audience		
- YouTube advertising revenue		10,760,000
- Sponsorship and brand promotion Income		28,840,000
Foreign Audience		
- YouTube advertising revenue		33,360,000
- Sponsorship and brand promotion income		49,920,000
Lecturing fees		890,000
Assessable Income		123,770,000
Less -Relief		
Personal relief		(1,800,000)
Less-Qualifying Payment		
Donation to government school		(2,500,000)
Taxable Income		
	Foreign source	83,280,000
	Local sources	36,190,000
Tax Calculation		
Tax liability for foreign audience income	83,280,000 x 15%	12,492,000
Tax liability for local audience and lecturing income (after deducting PTR+Q/P)	1,000,000 x 6%	60,000
	500,000 x 18%	90,000
	500,000 x 24%	120,000
	500,000 x 30%	150,000
	33,690,000 x 36%	12,128,400
Total Tax Payable		25,040,400
Less – Tax Credit		
• AIT on lecturing fees		(44,500)
• Quarterly installment payment		(8,160,000)
Balance Tax Payable		16,835,900



***Remarks**

Personal relief (PTR) and qualifying payments (Q/P) may be deducted against either foreign sourced income or local sourced income, (to get maximum benefit for the taxpayer)

Example 4

Mrs. Renuka Hettiarachchi is a businesswomen and CFO of company BOP. Her income for the year of assessment 2025/2026 is as follows;

- Employment income Rs. 7,500,000
- Business income Rs. 11,500,000 (after deducting the allowable expenses)
- Gross Interest income from fixed deposits Rs, 8,000,000 (AIT has been deducted at rate 10% respectively).
- Rent Income is Rs. 1,900,000 (AIT at 10% has been Deducted)
- Income Rs. 240,000 from supplying electricity to national grid from 31.04.2025 to 31.03.2026 by solar panel installation. (After deducting Capital Allowances)

Employment income includes the cash and non-cash benefits. She has donated Rs. 1,000,000 to purchase new equipment for District Hospital. In addition to that she has spent total amount Rs. 800,000 to establish a shop for a lady from Samurdhi beneficiary family during the Y/A. (by cash Rs. 500,000 and by providing materials – cement Rs. 300,000). As well as Ms. Renuka has installed a solar panel to her residential place which is connected to the national grid at cost of Rs. 2,000,000 on 01.08.2022 and she already deducted Rs. 1,800,000 as qualifying payment during last three years of assessment by Rs. 600,000 for each year.



Computation of Income Tax Liability of Ms. Renuka for the Year of Assessment 2025/2026

		Rs.
Employment Income		7,500,000
Business Income		
Business Income		11,500,000
Supply of electricity by solar panel		240,000
Investment Income		
• Interest Income		8,000,000
• Rent Income		1,900,000
Assessable Income		29,140,000
Less – Reliefs		
• Rent Relief		(475,000)
• Personal Relief		(1,800,000)
• Solar Panel fixing	(Only balance Rs. 200,000)	(200,000)
Less – Qualifying Payments		(1,000,000)
• Donations		
• Establish a shop for a Samurdhi female	Cash 500,000/- Cement 300,000/-	(800,000)
Taxable Income		24,865,000
Tax Liability	1,000,000 x 6% = 60,000	
	500,000 x 18% = 90,000	
	500,000 x 24% = 120,000	
	500,000 x 30% = 150,000	
Total Tax Liability	Balance –22,365,000 x 36% = 8,051,400	8,471,400
Less – Tax Credit		
• APIT		1,571,316
• WHT on Interest		800,000
• AIT on Rent		190,000
Balance Tax Payable		5,910,084



Example 5

Professor Dimithri is attached to the Faculty of engineering, University of Peradeniya Sri Lanka. Meanwhile, he is working as one of the Consultant to the NARA and receive a payment for his service renewed. Professor Dimithri's income for the year of assessment 2025/2026 is as follows;

- Employment income from Faculty of engineering (primary employment) - Rs. 9,000,000
- Consultancy fee income from NARA (secondary employment) – from 01.04.2025 to 31.01.2026 Rs. 5,000,000
- Gross Interest income is Rs, 4,500,000 (AIT has been deducted at 10%)
- Rent income is Rs. 1,800,000 (from the commercial building rent -out for the business,AIT has been deducted at 10%)
- Other income Rs. 360,000 from supplying electricity to national grid from 01.04.2025 to 31.03.2026 by solar panel installation (After deducting Capital Allowances)
- Dividend income RS. 500,000 from the resident company in February 2026

(the payment was subject to a 15% Final withholding tax deduction)

Employment income included cash and non-cash benefits. He has spent Rs. 1,000,000 on Solar panel installation for his resident place which has been connected National Grid during last year of assessment. He has also donated Rs. 250,000 to the Bogawantana Maha Vidyalaya. (Government School) to establish a computer unit for the children. And donated Rs. 200,000 for approved charity during this year.



Computation of Income Tax Liability of Mr. Damithri for the Year of Assessment 2025/2026

		Rs.
Employment Income		
- Primary		9,000,000
- Secondary		5,000,000
Business Income		
- Supply of electricity by solar panel		360,000
Investment Income		
- Rent Income		1,800,000
- Interest Income		4,500,000
Assessable Income		20,660,000
Less - Reliefs		
- Rent Relief		(450,000)
- Solar Penal Relief-balance		(400,000)
- Personal Relief		(1,800,000)
Less – Qualifying Payments		
- Donations Approved Charity		(75,000)
- Donation to Govt. School		(250,000)
Taxable Income		17,685,000
Tax Liability	1,000,000 x 6% = 60,000	
	500,000 x 18% = 90,000	
	500,000 x 24% = 120,000	
	500,000 x 30% = 150,000	
	15,185,000 x 36% = 5,466,600	
Total Tax Payable		5,886,600
Less – Tax Credit		
• APIT		3,912,000
• AIT on Interest		450,000
• AIT on Rent @ 10%		180,000
• Installment Payment		800,000
Balance Tax Payable		544,600



*Remarks-No further tax is payable on dividend income, as it is subject to final withholding tax.

Example 06

Mr Hasitha Perera is a resident individual in Sri Lanka and is employed as a software Engineer for a company incorporated in the USA. He performs all his duties remotely from his resident in Sri Lanka. The software applications developed by Mr Hasitha are marketed and used by customers located in several European Union countries. According to the employment agreement entered into with the U.S.A Company Mr Hasitha receives a monthly salary of USD, which is remitted to Sri Lanka through his foreign currency account maintained at the Bank of Ceylon. During the year of assessment, he received the salary continuously for all 12 months.

Mr Hasitha's income for the year of assessment 2025/2026 is as follows;

- Employment income from USA company- Rs. 16,380,000 (after converting USD to LKR)
- Gross Interest income is Rs, 3,600,000 (AIT has been deducted at 10%) from fixed deposit maintained with People's Bank in rupee
- Rent income is Rs. 1,080,000 (from renting out the upper floor of his residential house)
- He has also donated Rs. 200,000 to SOS Children's Village Sri Lanka.
- He paid quarterly installment payments of Rs.365,000.
- He paid APIT as per tax table 08 amount to Rs. 2,142,000



Computation of Income Tax Liability of Mr. Hasitha for the Year of Assessment 2025/2026

		Rs
Employment Income (not allowed to deduct expenses)		16,380,000
Interest Income		3,600,000
Rent Income		1,080,000
Assessable Income		21,060,000
Less -Relief		
Rent relief		(270,000)
Personal relief		(1,800,000)
Less-Qualifying payment		
Donation to SOS		(75,000)
Taxable Income		18,915,000
Tax Liability for foreign employment	$16,380,000 \times 15\%$	2,457,000
Tax Liability for rent and interest income (here PTR+ rent relief and Q/P will be deducted from these income)	$1,000,000 \times 6\%$	60,000
	$500,000 \times 18\%$	90,000
	$500,000 \times 24\%$	120,000
	$500,000 \times 30\%$	150,000
	$35,000 \times 36\%$	12,600
Total Tax Payable		2,889,600
Less – Tax Credit		
• APIT		(2,142,000)
• AIT on Interest		(360,000)
• Quarterly installment payment		(365,000)
Balance Tax Payable		22,600



***Remarks**

Personal relief and qualifying payments may be deducted against either foreign employment income or local employment/business/investment or other taxable income.

Additional Notes-

- APIT on foreign employment income is deductible as per Tax Table 8 issued by the IRD.
- Foreign sourced income received in foreign currency through a licensed bank is taxable, and the foreign tax credit is limited to the tax Liabilities on foreign sourced income. It cannot be set off against any other tax liability. Furthermore, it is non-refundable.